**FINANCIAL ACCOUNTING & REPORTING**

Suggested Answers
November-December 2024

**Answer to the Question# 1 (a):**

There are limitations inherent in financial statements, including the fact that they are:
- Financial statements are highly standardized in terms of their overall format and presentation although business are very diverse in their nature.
- Financial statements are highly aggregated in that information on a great many transactions and balances is combined into a few figures in the accounts, which can often make it difficult for the reader to evaluate the components of the business.
- Financial statements are backward-looking whereas most users of financial information base their decisions on expectations about the future.
- Financial statements contain financial information only. They do not generally include non-financial data such as: Narrative description of the major operations, discussion of business risks and opportunities, narrative analysis of the entity's performance and prospects, management policies and how the business is governed and controlled.

**Answer to the Question# 1 (b):**

"To maintain consistency, the presentation and classification of items in the financial statements should stay the same from one period to the next. There are two exceptions to this:

(i) Where there is a significant change in the nature and operation or a review of the financial statements presentation which indicates a more appropriate presentation. (This change is only allowed if the resulting information is a more faithful representation and more relevant than the previous presentation. If two presentations are equally appropriate then the current presentation must be retained.)

(ii) Where a change in presentations required by an IFRS

When a change of presentation and classification is made, figures for the previous period must be restated on the new basis, unless this is impracticable (i.e., not possible 'after making every reasonable efforts'). "

**Answer to the Question# 1 (c):**

"Certain pieces of information may be presented either in the statement of financial position or in the notes to the financial statements - these comprises:

(i) Further sub-classification of line items from the statement of financial position. Disclosures will vary from item to item, which will in part depend on the requirements of IFRS. For example, tangible assets are classified by class of assets (eg land and buildings, plant and equipment) as required by IAS 16 Property, Plant and Equipment.
(ii) Details about each class of share capital.
(iii) Details about each reserve with equity."

**Answer to the Question# 2 (a):**

The substance of this transaction is that of a secured loan as Northern Ltd retain the risks and rewards of ownership and given that property prices are rising, it is high likely that the repurchase option will be exercised.

| | | |
|---|---|---|
| Initial loan: | Dr. Cash/Bank | Tk. 5 million |
| | Cr. Loan from Southern Finance Ltd. | Tk. 5 million |
| | | |
| Interest: | Dr. Interest (Tk. 5 million x 9.5%) | Tk. 0.475 million |
| | Cr. Loan | Tk. 0.475 million |
| | | |
| Total loan liability is | Tk. 5.475 million (Tk. 5 m + Tk. 0.475m) | |

**Answer to the Question# 2 (b):**

IFRS 15 requires that revenue from rendering of services is recognised by reference to the stage of completion of the transaction at the end of the reporting period. IFRS 15 takes an approach which is focused on the statement of profit or loss rather than the statement of financial position. This means that EcoJet may have taken bookings which are entirely non-refundable but the revenue associated with payments for tickets should be held in the statement of financial position as deferred income until either the flight is taken or the ticket expires.

Mr. X
Mr. X 's flight resulted in EcoJet receiving Tk. 80,000 in November 2023, which it will be entitled to keep without any further conditions. Both outbound and return flights are after the year-end date and so all this Tk. 80,000 should be recognised as deferred revenue in the statement of financial position, rather than as revenue in the year to 31 December 2023.

Mr. Y
Mr. Y's flight has also not been taken at the year-end and so the Tk.55,000 received should also be recognised as deferred income in the statement of financial position at 31 December 2023. The Framework principles for income and asset recognition would also give this same conclusion since EcoJet is not yet unconditionally entitled to the income as it may need to refund the flexible ticket.

Mr. Z
Under IFRS 15 Revenue from Contracts with Customers for the outbound flight should be recognised as that part of the service has been completed. Tk. 50,000 should thus be recognised in profit or loss and Tk. 50,000 should remain in the statement of financial position as deferred income until Mr. Z's flight back is completed.

**Answer to the Question# 3 (a):**

(a) Incorrect entry

| | Debit Tk | Credit Tk |
|---|---|---|
| Cash | 950 | |
| Accounts Receivable | | 950 |
| Miscellaneous Expense | 75 | |
| Cash | | 75 |
| Salaries and Wages expense | 1,850 | |
| Cash | | 1,850 |
| Supplies | 310 | |
| Accounts payable | | 310 |
| Equipment | 152 | |
| Cash | | 152 |

(b) Correct entry

| | Debit Tk | Credit Tk |
|---|---|---|
| Cash | 590 | |
| Accounts Receivable | | 590 |
| Advertising Expense | 75 | |
| Cash | | 75 |
| Salaries and Wages expense | 1,150 | |
| Salaries and wages payable | 700 | |
| Cash | | 1,850 |
| Equipment | 310 | |
| Accounts payable | | 310 |
| Maintenance and repairs expense | 125 | |
| Cash | | 125 |

(c) Correcting entry

| | Debit Tk | Credit Tk |
|---|---|---|
| Accounts Receivable | 360 | |
| Cash | | 360 |
| Advertising Expense | 75 | |
| Miscellaneous expense | | 75 |
| Salaries and Wages payable | 700 | |
| Salaries and wages expense | | 700 |
| Equipment | 310 | |
| Supplies | | 310 |
| Maintenance and repairs expense | 125 | |
| Cash | 27 | |
| Equipment | | 152 |

**Answer to the Question# 3 (b):**

INFO CABLE LTD
Trail Balance
April 30, 2024

| | Debit Tk | Credit Tk |
|---|---|---|
| Cash ( 4,100-360+27) | 3,767 | |
| Accounts Receivable (3,200 + 360) | 3,560 | |
| Supplies ( 800 -310) | 490 | |
| Equipment (10,600 + 310 - 152) | 10,758 | |
| Accumulated depreciation - Equipment | | 1,250 |
| Accounts Payable | | 2,100 |
| Salaries and wages payable (700-700) | | - |
| Unearned service revenue | | 890 |
| Share Capital - Ordinary | | 10,000 |
| Retained Earnings | | 2,880 |
| Service Revenue | | 5,450 |
| Salaries and wages expense (3,300-700) | 2,600 | |
| Advertising expense (480+75) | 555 | |
| Miscellaneous expense (290-75) | 215 | |
| Depreciation expense | 500 | |
| Maintenance and repair expense | 125 | |
| | 22,570 | 22,570 |

**Answer to the Question# 4 (a):**

Under IAS 2 Inventories, Paragraph 9, the cost of inventories includes all costs of purchase, conversion, and other costs incurred in bringing the inventories to their present location and condition. LC Confirmation Charges are the cost incurred to bring the Inventories this present location and condition (in Bangladesh). Thus, the same inventories can be offered to sales. Therefore, LC Confirmation Charges shall be recognized as part of Inventories Cost. Journal Entries Shall be

Advanced against Inventories DR.
Bank Account CR.

**Answer to the Question# 4 (b):**

Under IAS 2 Inventories, Paragraph 9, the cost of inventories includes all costs of purchase, conversion, and other costs incurred in bringing the inventories to their present location and condition. Insurance Cost incurred against LC and to be billed at actual to the LC Issuance Bank and ultimately to bear by the Importer are the cost incurred to bring the Inventories this present location and condition (in Bangladesh). Thus, the same

Inventories can be offered to sales. Therefore, said Insurance Cost shall be recognized as part of Inventories Cost. Journal Entries Shall be

| | | |
|---|---|---|
| Advanced against Inventories | DR. | |
| | Bank Account | CR. |

**Answer to the Question# 4 (c):**

As the IFRS (including IAS's) and Framework of IFRS is concerned, these cost (LC confirmation charges & Insurances Cost) is normal cost and to be recognized as part of Inventories Cost. These in no way could be considered as abnormal costs given the country of operation's (which is importer country) and importing legal entity is concerned. Since these are not abnormal cost, this is recognized under Inventories Cost and shall not reported separately under Statement of Profit & Loss.

**Answer to the Question# 4 (d):**

Where entities account for their property, plant and equipment using the fair value model, a change in the liability does not affect the valuation of the item for accounting purposes. Instead, it alters the revaluation surplus or deficit on the item, which is the difference between its valuation and what would be its carrying amount under the cost model.

The effect of the change is treated consistently with other revaluation surpluses or deficits. Any cumulative deficit is taken to profit or loss, but any cumulative surplus is credited to equity.

| Particulars | Journal Entries | Remarks |
|---|---|---|
| Increase in Liabilities | DR. Revaluation Surplus | To the extent the revaluation surplus is available |
| | CR. Liabilities | |
| Decrease in Liabilities | DR. Liabilities | To the extent Revaluation surplus were debited (reduced previously) |
| | CR. Revaluation Surplus | |
| Cumulative deficit | DR. Loss on Changes in Obligation | Cumulative deficit after netting/exhausting of Revaluation surplus |
| | CR. Liabilities | |
| Cumulative surplus | DR. Liabilities | Cumulative surplus in excess of previously recognized revaluation surplus |
| | CR. Revaluation Surplus (Owner Equity) | |

Journal Entries

**Answer to the Question# 4 (e):**

The Interpretation addresses an apparent conflict between the requirements of IAS 34 and those in other standards on the recognition and reversal in financial statements of impairment losses on goodwill and certain financial assets.

IFRIC 10 concludes that an entity shall not reverse an impairment loss recognised in a previous interim period in respect of goodwill or an investment in either an equity instrument or a financial asset carried at cost.

**Answer to the Question# 5:**

ZX Limited
Statement of Cash Flows for the year ended on 31 December 2023

| | Tk. | Tk. |
|---|---|---|
| Cash flows from operating activities | | |
| Profit before tax | | 163,000 |
| Depreciation | | 245,000 |
| Decrease in inventory [172-170-14] | | 12,000 |
| Increase in receivables [104-74-26] | | (4,000) |
| Decrease in pre-payments [22-16-8] | | 2,000 |
| Increase in trade payables [720-512-78] | | 130,000 |
| Increase in provisions [208-178-21] | | 9,000 |
| Cash generated from operations | | 557,000 |

| | | |
|---|---|---|
| Cash flows from investing activities | | |
| Cash paid for property, plant and equipment [note 1] | (420,000) | |
| Cash paid to acquire subsidiary [320+45] | (365,000) | |
| Cash received on sale of shares [26-20] | 16,000 | |
| Net cash used in investment activities | | (769,000) |
| Decrease in cash and cash equivalents | | (212,000) |
| Cash and cash equivalents at 31 December 2022 [note 2] | | 18,000 |
| Cash and cash equivalents at 31 December 2023 [note 2] | | (230,000) |

Note 1: Property, plant and equipment

| | Dr. | | Cr. |
|---|---|---|---|
| Bf | 1,100,000 | Depreciation | 245,000 |
| New subsidiary | 275,000 | | |
| Cash (Balance) | 420,000 | | |
| | | Cf | 1,550,000 |
| | 1,795,000 | | 1,795,000 |

Note 2: Analysis of cash and cash equivalents

| | 2023<br>Tk. | 2022<br>Tk. | Change<br>Tk. |
|---|---|---|---|
| Cash and bank balances | - | 28,000 | (28,000) |
| Overdrafts | (240,000) | (70,000) | (170,000) |
| Government bonds | 10,000 | 24,000 | (14,000) |
| | (230,000) | (18,000) | (212,000) |

Note 3: Acquisition of subsidiary

On 1 October 2023, the group acquired 100% of the issued share capital of KD Limited for cash consideration of Tk. 320,000. The net assets acquired were:

| Property, plant and equipment | Tk. |
|---|---|
| Inventory | 275,000 |
| Receivables | 14,000 |
| Pre-payments | 26,000 |
| Trade payables | 8,000 |
| Provisions | (78,000) |
| Overdraft | (21,000) |
| Goodwill | (45,000) |
| Net assets acquired | 141,000 |
| Satisfied by: | 320,000 |
| Cash | |
| Property, plant and equipment | 320,000 |

**Answer to the Question# 6 (a):**

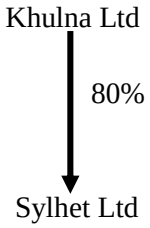
Consolidated statement of financial position as at 31 December 2023

| | Tk. | Tk. |
|---|---|---|
| ASSETS | | |
| Non-current assets | | |
| Property, plan and equipment (80,000 + 58,200) | | 138,200 |
| Intangibles (note 3) | | 14,600 |
| | | 152,800 |
| Current assets | | |
| Inventories (18,000 + 12,000 - 800 PURP (note 2)) | 29,200 | |
| Trade and other receivables (62,700 + 21,100) | 83,800 | |
| Investments | 2,500 | |
| Cash and cash equivalents (10,000 + 3,000 + 500) | 13,500 | |
| | | 129,000 |
| Total assets | | 281,800 |

| | |
|---|---|
| EQUITY AND LIABILITIES | |
| Equity attributable to owners of the parent | |
| Ordinary share capital | 120,000 |
| Share premium | 18,000 |
| Revaluation surplus | 23,000 |
| Retained earnings (note 5) | 57,160 |
| | 218,160 |
| Non-controlling interest (note 4) | 17,640 |
| Total equity | 235,800 |
| | |
| Current liabilities | |
| Trade and other payables (35,000 +11,000) | 46,000 |
| Total equity and liabilities | 281,800 |

Working notes:

Note 1: Group structure




Note 2: Net assets of Sylhet Ltd

| | Year end Tk. | Tk. | Acquisition date Tk. | Post-acquisition Tk. |
|---|---|---|---|---|
| Share capital | | 60,000 | 60,000 | - |
| Revaluation surplus | | 16,000 | 16,000 | - |
| Retained earnings | | | | |
| as per question | 13,000 | | | |
| Less: PURP (4,000 X 25/125) | (800) | | | |
| | | 12,200 | 8,000 | 4,200 |
| | | 88,200 | 84,000 | |

Note 3: Goodwill

| | Tk. |
|---|---|
| Consideration transferred | 84,000 |
| Non-controlling interest at acquisition (84,000 x 20% (note 2)) | 16,800 |
| | 100,800 |
| Less: Net assets at acquisition (note 2) | (84,000) |
| | 16,800 |
| Impairment to date (500 + 1700) | (2,200) |
| Balance carried forward | 14,600 |

Note 4: Non-controlling interest at year end

| | Tk. |
|---|---|
| Sylhet Ltd - NCI at acquisition (20% x 84,000 (note 2)) | 16,800 |
| Share of post-acquisition reserve (20% x 4,200 (note 2)) | 840 |
| | 17,640 |

Note 5: Retained earnings

| | Tk. |
|---|---|
| Consideration transferred | 84,000 |
| Non-controlling interest at acquisition (84,000 x 20% (note 2)) | 16,800 |

Note 4: Non-controlling interest at year end

| | Tk. |
|---|---|
| Khulna Ltd | 56,000 |
| Sylhet Ltd (80% x 4,200 (note 2)) | 3,360 |
| Less: Goodwill impairment to date (note 3) | (2,200) |
| | 57,160 |

**Answer to the Question# 6 (b):**

Adjustment
When group companies have been trading with each other two separate adjustments may be required in the consolidated statement of financial position.

(i) Elimination of unrealized profit

If one company holds inventories at the year end which have been acquired from another group company, this may include a profit element that is unrealized from a group perspective.

Here Sylhet Ltd has sold goods to Khulna Ltd at cost plus 25%. The mark-up of 25% will only become realized when the goods are sold to third party. Therefore, if any intra-group inventory is still held at the year end, the profit thereon should be eliminated from the consolidated accounts.

This will require an adjustment of Tk. 800 (4,000 x 25/125) which is always made against the selling company's retained earnings i.e.,

| | DR<br>Tk. | CR<br>Tk. |
|---|---|---|
| Sylhet Ltd's retained earnings (note 2) | 800 | |
| Consolidated inventory | | 800 |

As well as eliminating the unrealized profit, this reduces inventory back to its original cost to the group.

(ii) Elimination intra-group balances

As group companies are effectively treated as one entity, any intra-group balances must be eliminated on consolidation. Here, intra-group current account have arisen as a result of the intra-group trading and there must be cancelled out. Before this can be done the current accounts must be brought into agreement by adjusting the accounts of the 'receiving' company (here Sylhet Ltd) for the cheque-in-transit, i.e.,

| | DR<br>Tk. | CR<br>Tk. |
|---|---|---|
| Cash | 500 | |
| Current account | | 500 |

This will reduce the current account receivable to Tk. 2,700, which means that it now agrees with the payable balance shown in the accounts of Khulna Ltd.

| | DR<br>Tk. | CR<br>Tk. |
|---|---|---|
| Current account in Khulna Ltd | 2,700 | |
| Current account in Sylhet Ltd. | | 2,700 |

---The End---